



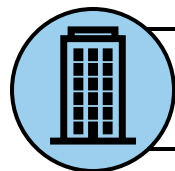
SWAROVSKI

RESTRUCTURING A MORE RECOGNIZABLE PUBLIC IMAGE

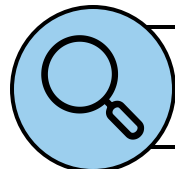


Bazinga Consulting

Agenda



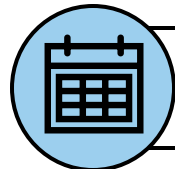
Background



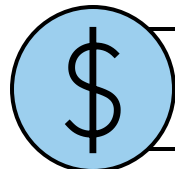
Problem Identification



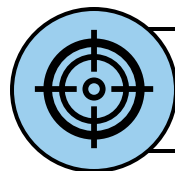
Recommendations



Implementation



Financials

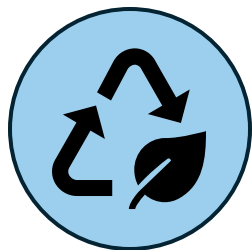


Key Performance Indicators

Key Industry Trends



Brand-Focused



Sustainability



Digitization

Industry Financials

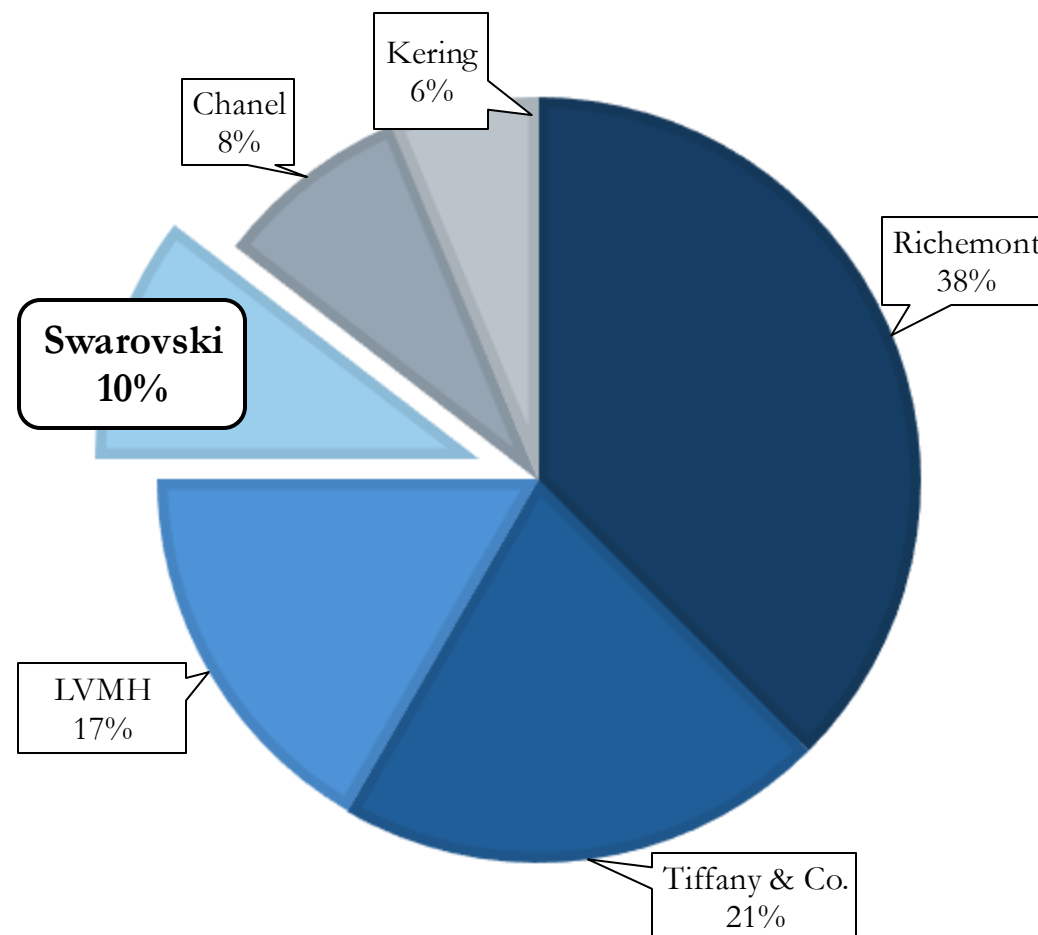


Loss of Overall Sales Due to **COVID-19**



\$27 Billion Five Year Projected Growth

Luxury Jewelry Market Share



Problem Identification

Struggle to improve visibility and create a unique brand profile

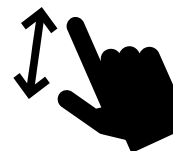
Lack of Brand Awareness

People **unfamiliar** with Swarovski leads to choosing **trusted** alternative brands



Brand Dilution

Lack of **cohesion** in products causes unclear **direction** and **position**



Loss of In-Store Sales

Desire to buy luxury items **in-store** impaired by **COVID-19** in-store **restrictions**



Recommendation Overview

Creating a distinct brand image centered around sustainability



The Diamond Bachelor Campaign

Creating a **campaign** based on existing lab-created diamonds, **promoting** and **refining** the brand



Sub-Label Rebrand

Splitting Swarovski into **2 distinct sub-labels**, highlighting its separate **emphasis** on fine and costume jewelry



Swarovski Luxe Store Remodels

Redesigning stores with **sustainability** themes to enhance marketing efforts and retain customers



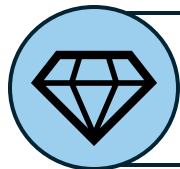
The Diamond Bachelor Campaign



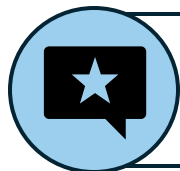
Sponsorship Outline



Form agreement with ***The Bachelor*** to use Swarovski jewelry



Feature a Swarovski **diamond** in proposal finale episode



Display **in-store experience** and feature **remodeled stores**



Improve **outreach** and **elevate** brand image

The Bachelor

ABC reality
TV show

4.5 million+ views
on 2022 finale

Demographic

Females
18-49

Target audience for
diamond **promotion**



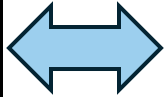


The Diamond Bachelor Campaign



Benefits

Swarovski has a **platform** to display diamonds, creating a more luxurious image



The Bachelor shows **care** for the planet by using their show to push sustainability

Core Values

“Creators Lab: Clean in Every Aspect”



Planet

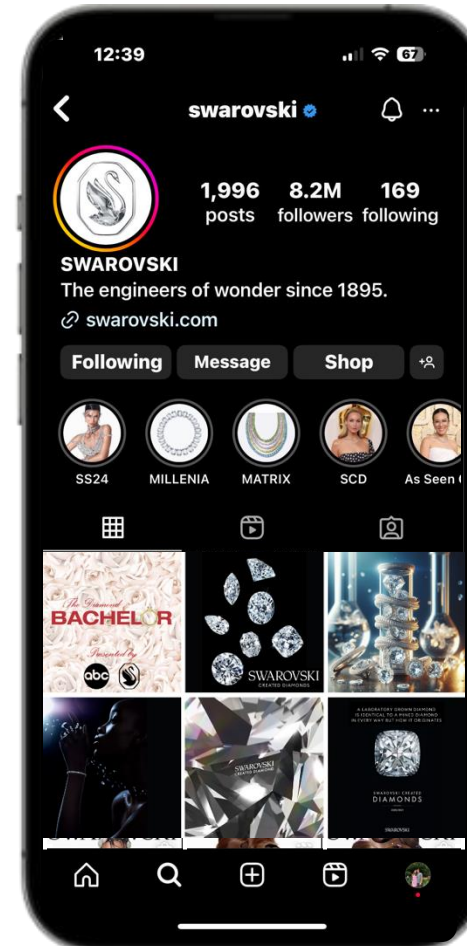


Look



Price

Social Media Marketing



2 Brand Entities

Luxe

Audience:

Celebrities & high-end clients

Categories:

Diamond rings, precious metals, heritage pieces

Contemporary

Audience:

Influencers and younger gen

Categories:

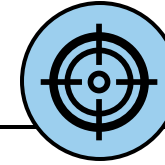
Collabs, figurines, glass crystals



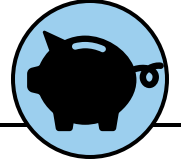
How Does This Influence Brand Reputation?



Current Website

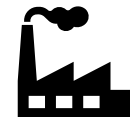


Clearer Perception



Justified Price

Sustainable Strategy Implementation



Remove Excess Manufacturing



Exclusive Distribution System

Factors for each
Sub-Label



Prototype Link



Remodel Swarovski **flagship stores** in high-traffic locations to highlight **sustainability practices** of the company and region with a featured **Mocktail Bar**



NY electricity through
hydropower

Swarovski hydro
powered crystal cutting

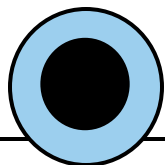
Oceanic store theme to represent the use of
hydropower in New York and the
sustainability practices of Swarovski

Potential Mocktail Bar

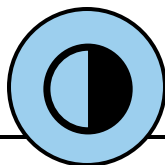




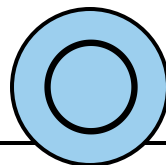
What Stores Receive a Remodel?



Flagship
Swarovski Luxe



Swarovski Luxe



Contemporary
by Swarovski

Energy Conservation



All **Luxe** products
kept in designated
stores with less
online availability

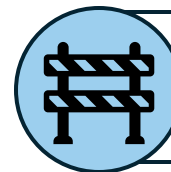


Most **Contemporary**
products sold online
with pieces in store
to try on

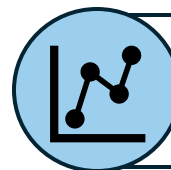
Remodel Outline



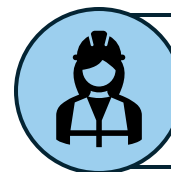
Hire design staff for **28** Flagship Swarovski
Luxe Stores to be remodeled



Begin year 1 remodeling trial of **9** flagship
stores and Swarovski Luxe stores



Analyze data sets from year 1 trial,
if KPIs are met, begin year 2



Finish last year of remodels with final
flagship locations



Implementation Timeline



	Q4 '23	Q1 '24	Q2 '24	Q3 '24	Q4 '24	Q1 '25	Q2 '25	Q3 '25	Q4 '25	Q1 '26	Q2 '26	Q3 '26	Q4 '26
Lab Grown Diamond Promotion													
Plan and Implement Social Media Marketing													
Negotiate Sponsorship with <i>The Bachelor</i>													
<i>The Diamond Bachelor</i> Season Runs													
Sub-Label Rebranding													
Develop Strategy (Lines + Marketing)													
Reorganize Warehouse Inventory													
User Test and Evaluate Website													
Luxury Store Remodel													
Develop + Plan Flagship Remodels													
Construction on 1 st Wave Market													
Launch of 1 st Wave Trial + Evaluation													

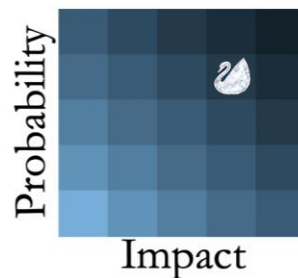
Risks and Mitigations



Risks

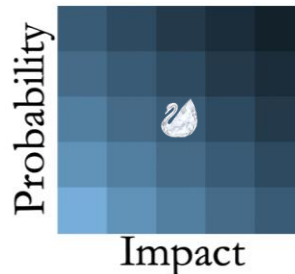
Mitigations

The Bachelor may be **hesitant** to switch out of previous partner, **Neil Lane**



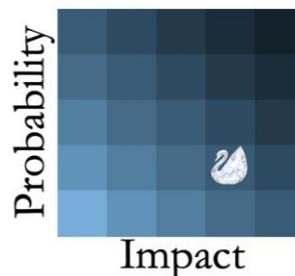
Emphasize how partnering allows *The Bachelor* to display its commitment to **sustainability**

Certain **demographics** may feel Swarovski doesn't **value** their experience comparatively



By putting equal efforts towards unique marketing campaigns, value is **reaffirmed**

In-store jewelry sales may not recover as expected after COVID-19, reducing profit

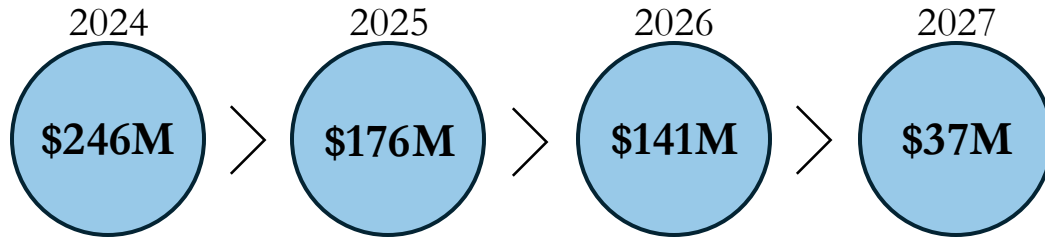


Implement changes **slowly**, choosing few initial stores to renovate, evaluating progress

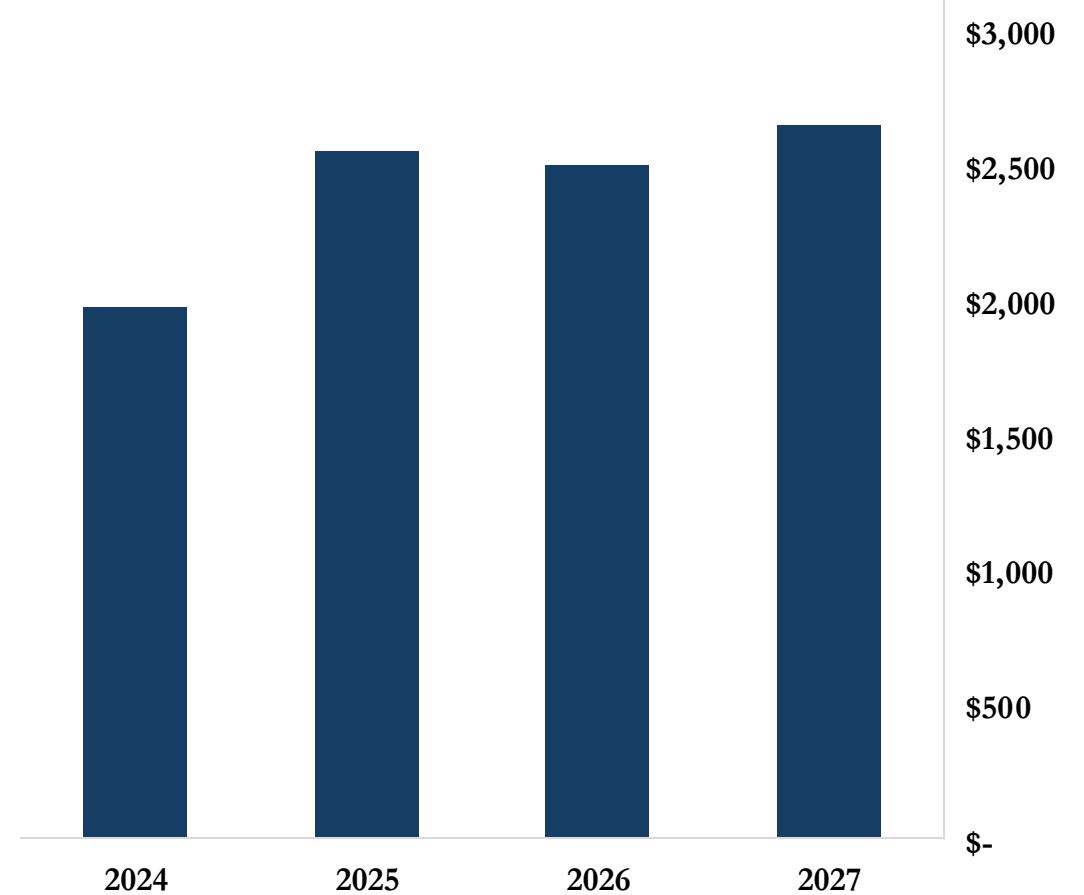


Financials

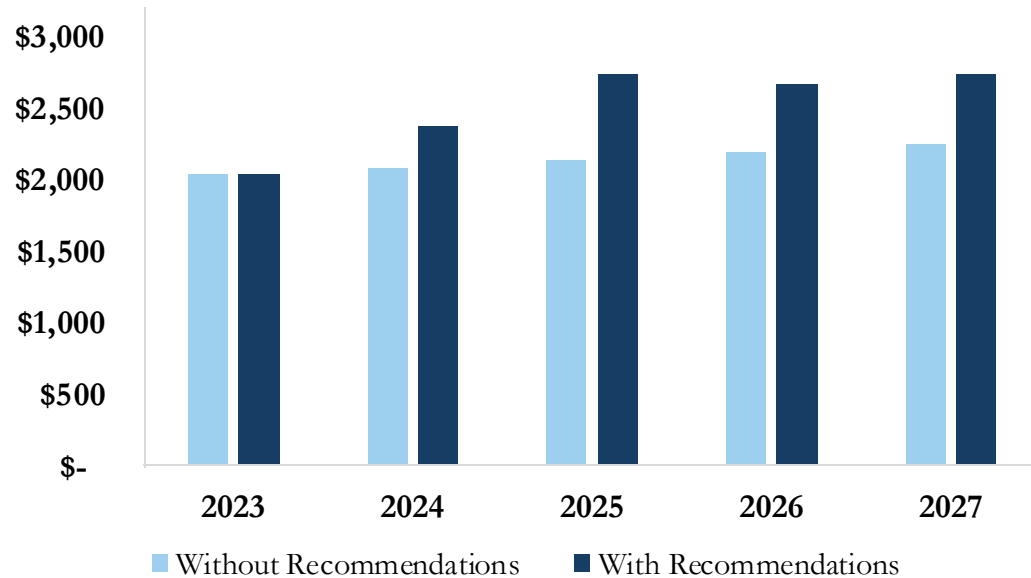
Total Expenses

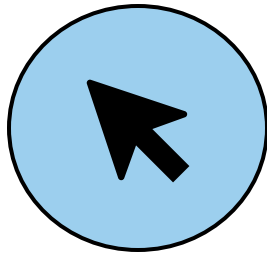


Total Profit (Millions USD)



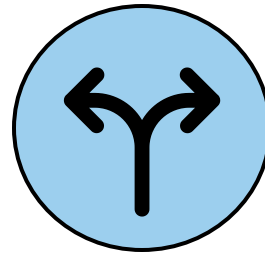
Total Revenue (Millions USD)





The Diamond Bachelor Campaign

Website user traffic increase **30%** by end of **2025** due to exposure from social media and TV



Sub-Label Rebrand

Market share growth of **3%** by end of **2026** due to expansion into more focused sub-label



Swarovski Luxe Store Remodels

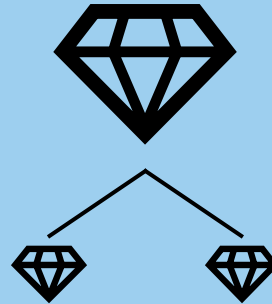
Increase Swarovski's luxury jewelry sales **15%** by end of **2027** due to unique in-store shopping experience

Lack of Brand Awareness



The Diamond Bachelor Campaign

Brand Dilution



Sub-Label Rebrand

Loss of In-Store Sales



Swarovski Luxe Store Remodels

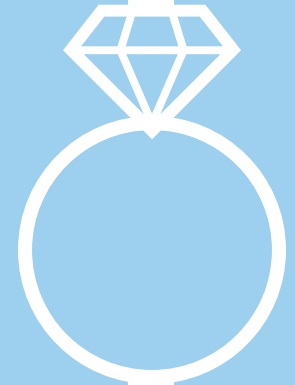


SWAROVSKI



Bazinga Consulting

Thank You!
Any Questions?





Appendix Overview



[Appendix A : 2020 Jewelry Sales](#)

[Appendix B : Costume Jewelry Market Forecast](#)

[Appendix C : Covid's Effect on Growth](#)

[Appendix D : Sustainable Jewelry Companies Google Search](#)

[Appendix E : Swarovski 2022 Sustainability](#)

[Appendix F : Swarovski Sustainability History](#)

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[Appendix H : Lack of In-Store Engagement](#)

[Appendix I : Brand Awareness Study](#)

[Appendix J : The Bachelor Viewers](#)

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[Appendix L : The Bachelor Viewer Demographics](#)

[Appendix M: The Bachelor Revenue](#)

[Appendix N : The Bachelor Notable Past Sponsors](#)

[Appendix O: eBay Partners with Love Island](#)

[Appendix P: Alternative Show for Sponsor](#)

[Appendix Q: Sub-Labels Chanel](#)

[Appendix R: Sub-Labels Example Luxe Items](#)

[Appendix S : Sub-Labels Store and Customer Changes](#)

[Appendix T : Sub-Labels Measuring Value](#)

[Appendix U : Sub-Labels Proportion of Fine vs Costume](#)

[Appendix V : Sub-Labels QR Code Mockup](#)

[Appendix W : Remodel Additional In-Store Locations](#)

[Appendix X : Remodel Sustainability Locations NYC](#)

[Appendix Y : Remodel Cartier Mocktail Bars](#)

[Appendix Z : Remodel Luxe In-Store Implementation](#)

[Appendix AA : Lab Diamond Campaign Financials](#)

[Appendix AB : Sub-Label Financials](#)

[Appendix AC: Remodel Financials](#)

[Appendix AD: Estimated Past Revenue](#)

[Appendix AE: Estimated Total Revenue](#)

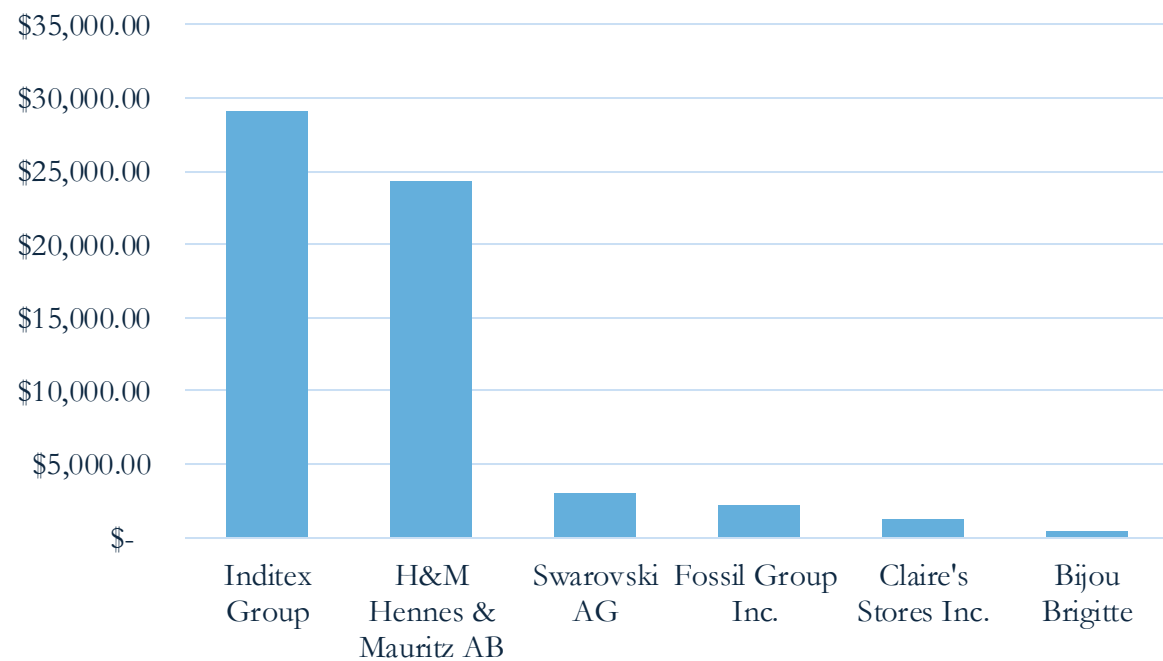
[Appendix AF: Estimated Cost Per Rec](#)

[Appendix AG: Consumer Persona 1 Jack](#)

[Appendix AH: Consumer Persona 2 Evelyn](#)

Appendix A: 2020 Jewelry Sales

Company Sales (in millions USD)



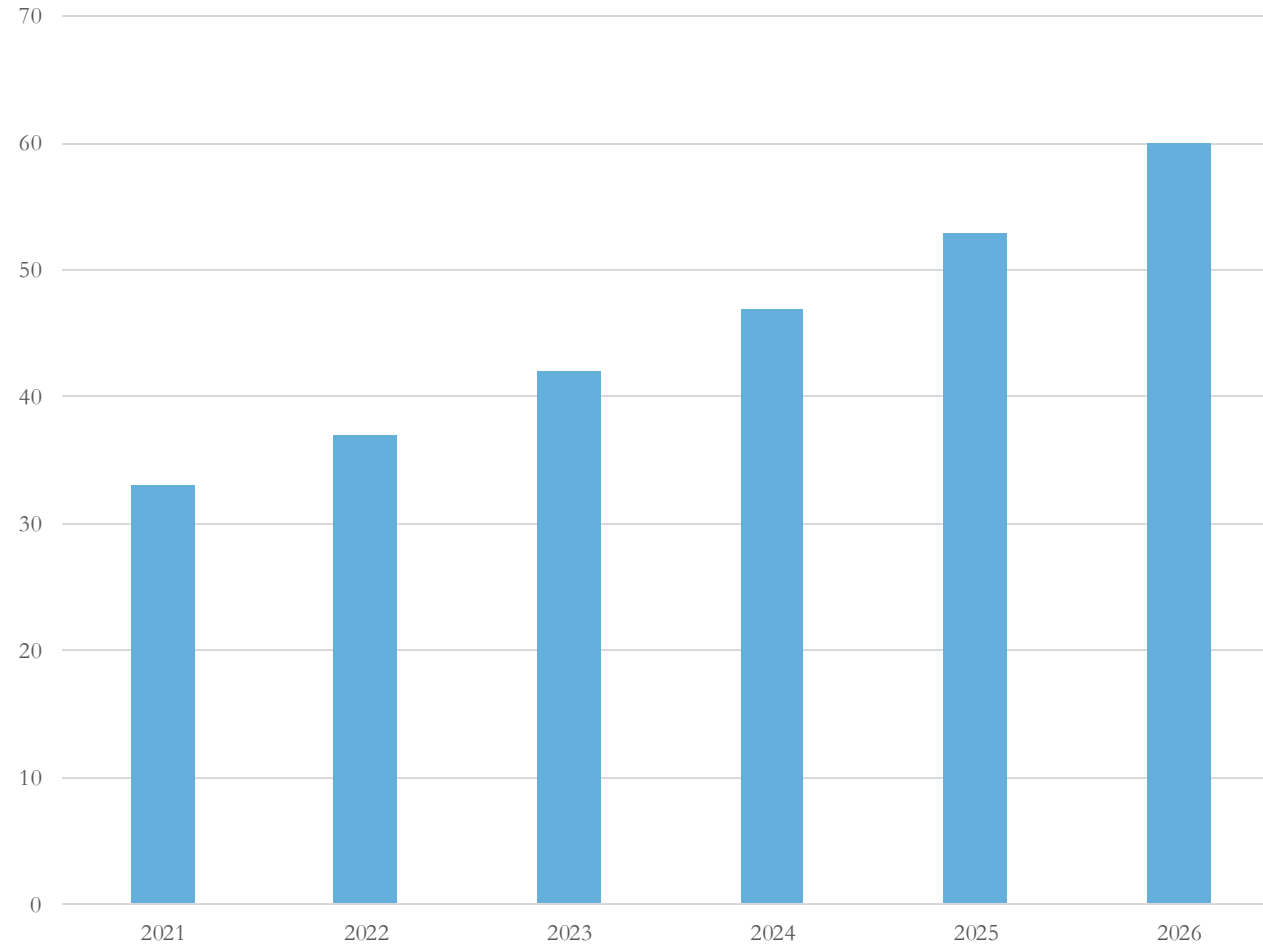
Company

Company Sales (in millions USD)

Inditex Group	\$	29,135.00
H&M Hennes & Mauritz AB	\$	24,339.00
Swarovski AG	\$	3,022.00
Fossil Group Inc.	\$	2,218.00
Claire's Stores Inc.	\$	1,269.00
Bijou Brigitte	\$	374.00

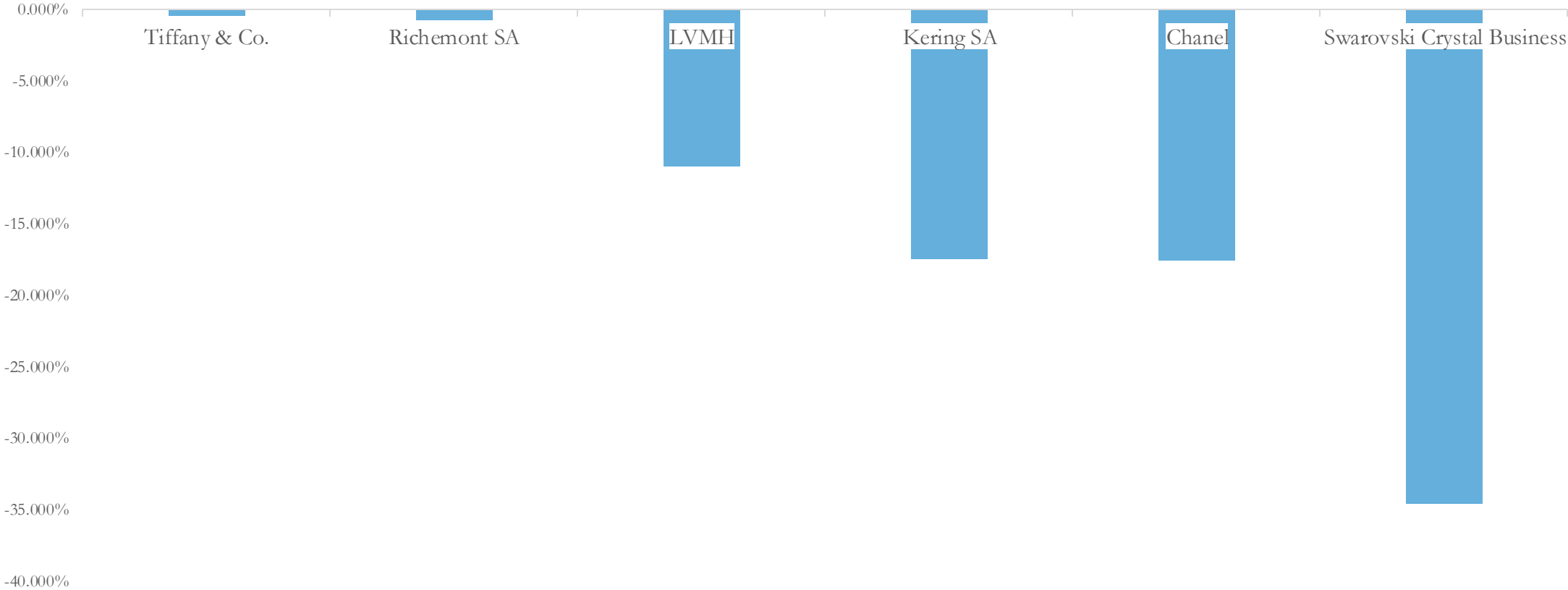


Costume Jewelry Market Value Forecast (Billions USD)

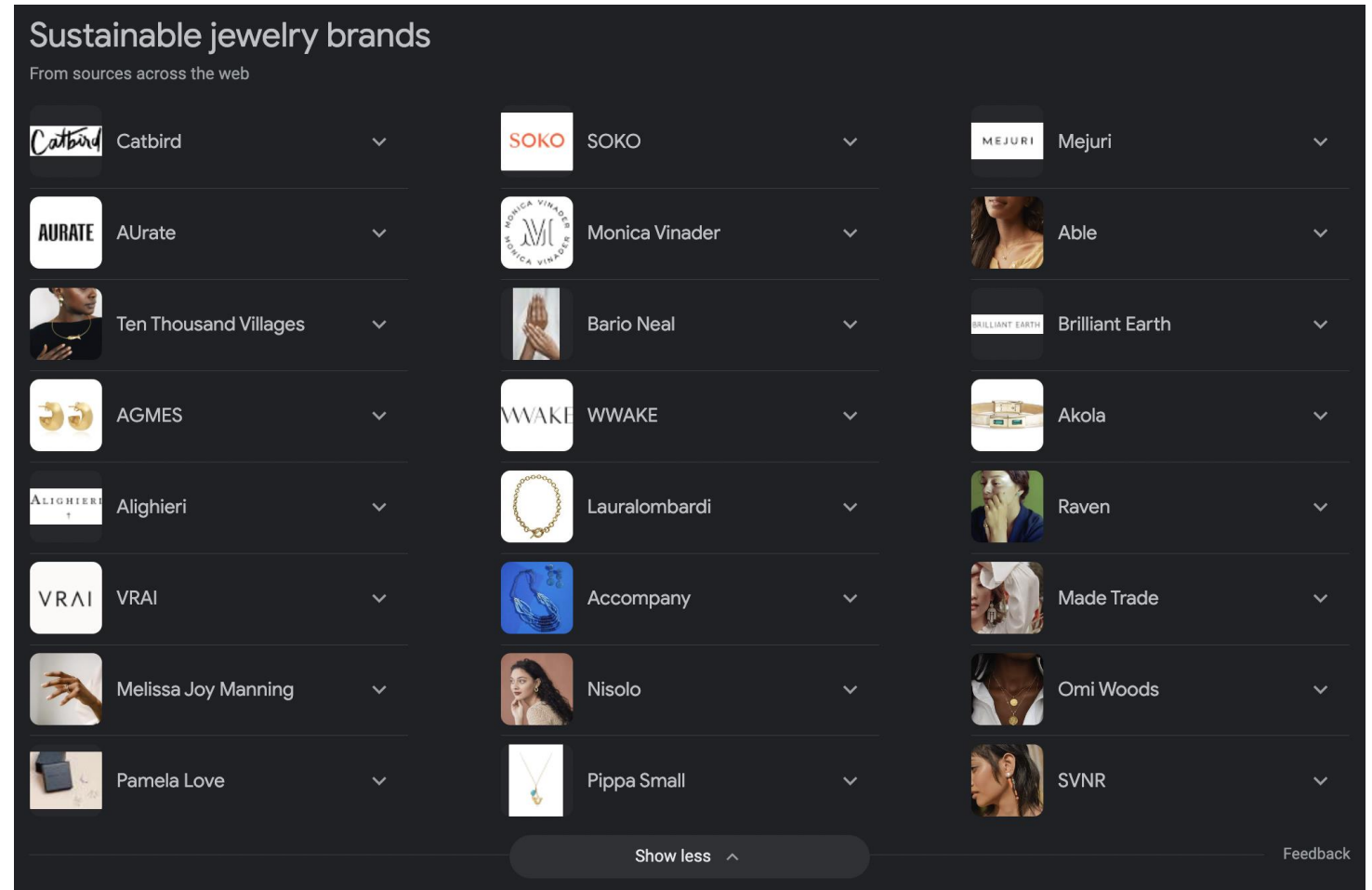


Appendix C: Covid's Affect on Growth

FY2020 Luxury Goods Sales Growth



When conducting a Google search of the **top sustainable jewelry brands**, Swarovski does not make an appearance, even though “**Caring for people and the planet**, quality, craftsmanship and creativity” lies at the core of Swarovski’s Values.



Appendix E: Swarovski 2022 Sustainability



Introduction

Focus Areas

The Story of our Crystals

Swarovski Foundation

Appendix

SUSTAINABILITY REPORT 2022

5

SUSTAINABILITY IN BRIEF

Reached an overall reduction of our Greenhouse gas emissions of
26%
vs. our SBTi baseline year 2019.

Achieved a
30%
reduction of our Scope 1 & 2 Greenhouse gas emissions compared to 2021.

60%
of brass used in internal production was from recycled sources, up from 50% in 2021.

Thanks to our plaster powder upcycling initiative, our manufacturing site in Thailand jumped from 19% to
63%
landfill free in 2022.

Entered a partnership with The
Trevor Project,
the leading suicide prevention and crisis intervention organization for LGBTQ young people.

Unveiled
Fluenta,
our first collection crafted with sustainability in mind, using Swarovski reignited crystals and recycled metal.

Increased the proportion of renewables in our energy mix from 22% to
36%
in 2022.



Ensured
100%
of our recruiters attended unconscious bias workshops to train on inclusive recruitment practices.

77%
of our global workforce are women, and
36%
of our leadership roles are filled by women.

Kept
49%
of our global manufacturing operations' waste out of landfill, up from 41% in 2021.

In India, BSR HERproject provided a 12 months' program on health awareness to
575 workers

Since inception, the Swarovski Foundation has reached more than
2 million
people across 93 countries.

In 2022, became one of the first members of the
WJI 2030
(Watch & Jewellery Initiative 2030).

Recycled
600 tonnes
of retail construction waste from store refurbishments, closures and relocations last year in China. Six times more than the recycled amount in 2021.

Performed
77
social audits and
12
environmental audits of our third-party suppliers.

Partnered with
5
leading international design schools and educated over 150 students on integrating sustainability into their designs.

Appendix F: Swarovski Sustainability History



Introduction

Focus Areas

The Story of our Crystals

Swarovski Foundation

Appendix

OUR SUSTAINABILITY MILESTONES

From the moment Daniel Swarovski established his business in 1895, he was committed to looking after the communities and environments upon which Swarovski relies. Today, these principles still guide us as we strive to act in accordance with what's right for people and the planet. Across more than 125 years of our heritage, we've achieved many notable sustainability milestones. Here are just a few of them.

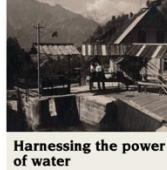
1895

Daniel's vision

Daniel Swarovski establishes a pioneering crystal-cutting factory in Tyrolean Wattens. Using hydroelectricity for his patented grinding processes, Daniel's vision is to craft affordable crystals and provide "a diamond for everyone."



1907



Harnessing the power of water

Our business builds its first major hydropower plant, providing clean "Swarovski power" for cutting machines and light for local communities.

1948

The Swarovski Spirit

A new company-owned welfare office begins offering support on social issues, establishes many employee social clubs and donates grounds for a local school, reinforcing that employee health, safety, and wellbeing have always been paramount for us.

1970

Towards hybrid furnaces

Our first combined gas and electric furnace is installed, reducing our reliance on fossil fuels for manufacturing.



1983

Collaboration in renewable energy

We work alongside the Wattens paper factory to commission the Wattenbach hydropower plant, capable of producing 57 GWh of energy each year.

1990



Less carbon dioxide

By replacing oil with natural gas for melting and heating, we cut our CO₂ emissions by 30%.

2010

Setting standards

Swarovski publishes its first voluntary sustainability report, including transparent disclosures in line with GRI Standards beyond legal requirements. Swarovski also joins the UN Global Compact (UNGC), the world's largest corporate sustainability initiative.

2014



A more responsible supply chain

We launch the Responsible Sourcing Initiative, helping suppliers manage socio-environmental risks in their production plants.

2015

Leading on lead

After dramatically reducing the lead content of Swarovski crystals to just 0.009% in 2012, the quest for continuous improvement drove Swarovski to again reduce the lead content to no more than 0.004%.



2020

A strengthened Sustainability Strategy

The Swarovski Crystal Business agrees an increased ambition level for sustainability and a strengthened strategy is created. Subsequently, the first set of bold 2030 targets are publicly announced.

2021



Mitigating global warming

Our business signs up to the Science Based Targets initiative, committing to reduce Scope 1 and 2 emissions by 47% and Scope 3 emissions by 28% by 2030.

2022

Sourcing more renewable energy

We achieved our biggest ever year on year reduction of Scope 1 and 2 GHG emissions, aided by shifting all our Asian manufacturing sites to renewable electricity, including on-site solar power.

Appendix G: Swarovski's Iconography

“Symbolically, the swan represents the **beauty of nature** and eternal love, a sentiment mirrored by Swarovski's love of crystal,” the brand says. “In adapting while staying true to its iconic emblem, Swarovski reinforces its pride for heritage as well as its vision for the future.”

<https://www.designweek.co.uk/issues/8-14-march-2021/swarovski-rebrand/#:~:text=%E2%80%9CSymbolically%2C%20the%20swan%20represents%20the,its%20vision%20for%20the%20future.%E2%80%9D>

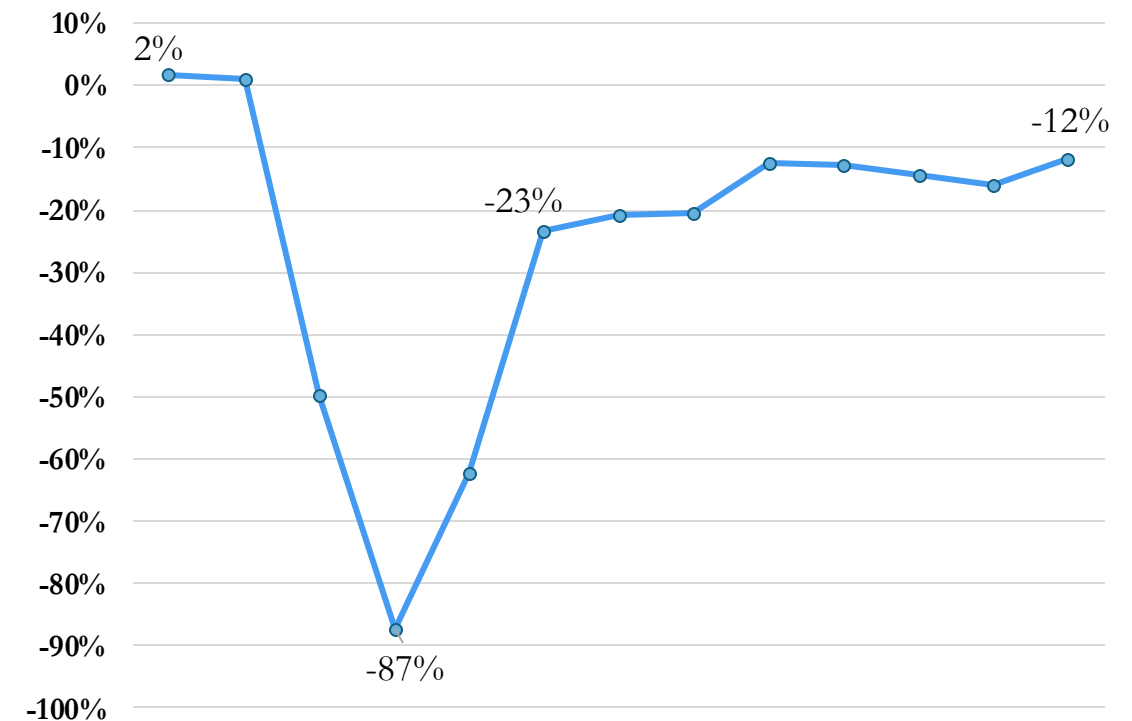


Since 2019, in-store jewelry sales have been on a **decline** and have not recovered to pre-covid rates

Need to lure people into stores; A person who spends **\$100** in-store would be expected to spend **\$163** online within the following month

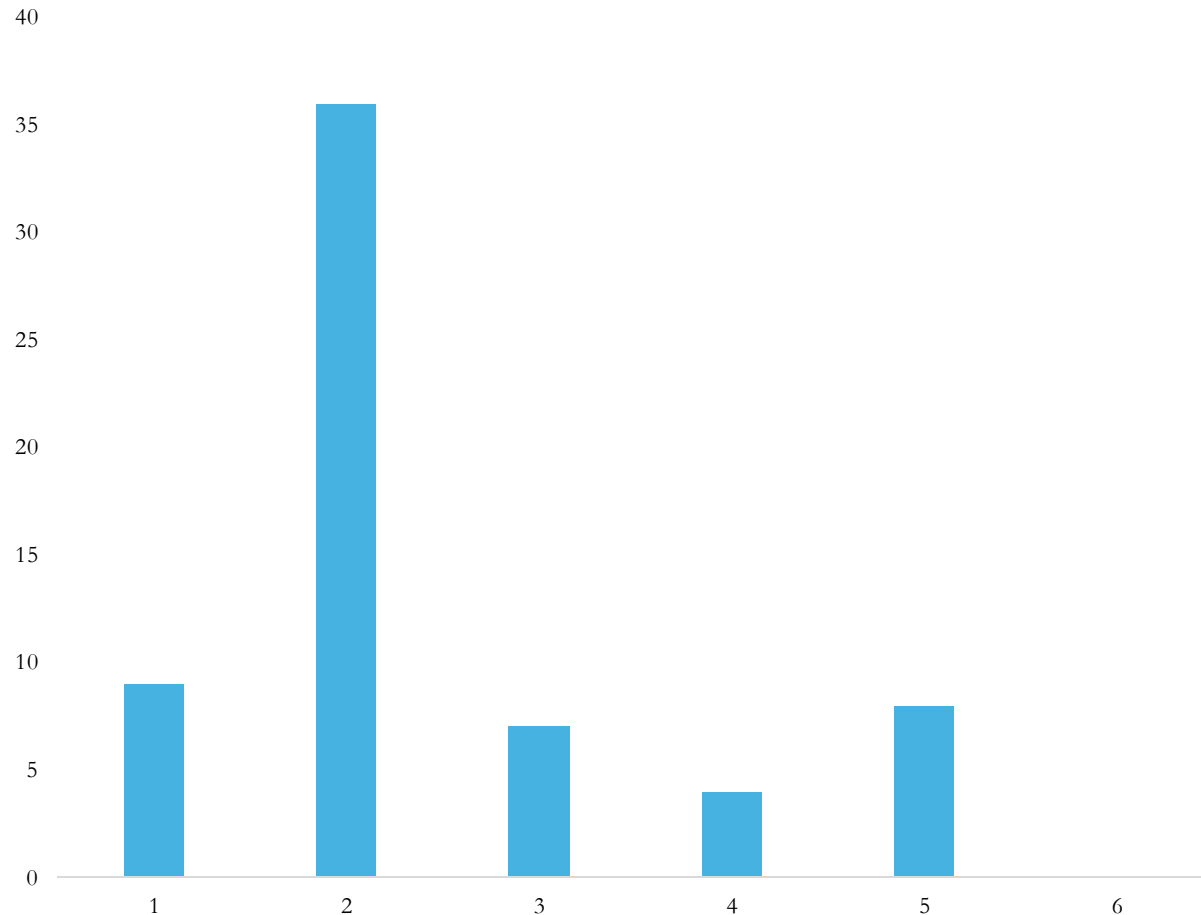
52% of global respondents preferred to shop in physical stores for high-end jewelry items

Monthly Percent Change of In-Store Jewelry Sales



Appendix I: Brand Awareness Study

How sustainable do you think Swarovski is compared to similar companies on a scale of 1-6 with 1 being least sustainable?



In your own words (1 or 2 sentences) what kind of markets does Swarovski sell to?

Rich people, hype beast type people

People who buy diamonds.

Jewelry wearers, usually people on the adult side

The super rich and the desperate man

Women?

I don't know

Women

middle class

Idk

High end

I'm not sure

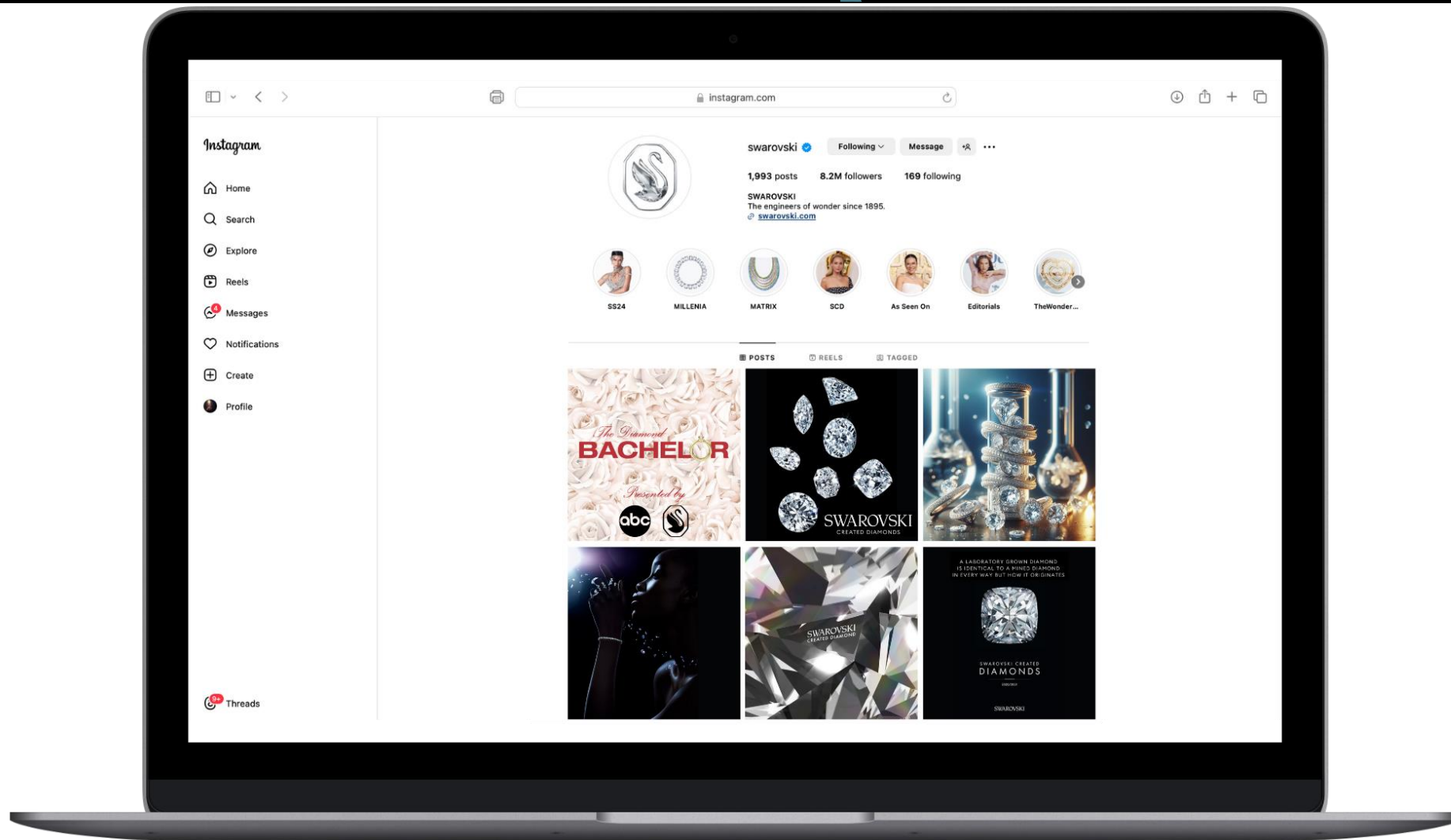
Appendix J: The Bachelor Viewers

- The 2020 season 24 finale of *The Bachelor* drew in a four-year high of approximately 8.5 million views.
- The 2021 season 25 finale of *The Bachelor* had just over 5.5 million viewers.
- Season 26 finale in 2022 received approximately 4.5 million views.
- Each season tends to have about 3 to 4 million linear viewers throughout.

<https://deadline.com/2022/03/tuesday-ratings-the-bachelor-season-26-finale-shocker-tops-demo-young-rock-mr-mayor-1234979212/>

<https://variety.com/2020/tv/news/the-bachelor-finale-4-year-high-tv-ratings-1203530130/>

Appendix K: The Bachelor Social Media Mockup





Appendix L: The Bachelor Viewer Demographics



According to data following the 2020 season, Bachelor Nation attracts a 77% female audience. Approximately half of the female viewers from this data were between the ages of 18-45. These viewers also surveyed to be more likely a “hopeless romantic” than the average person, from which we can assume they are more inclined to take a life long partner.

<https://today.yougov.com/entertainment/articles/33065-bachelor-nation-profile-poll>

Appendix M: The Bachelor Revenue

In 2017, The Bachelor reportedly made ABC about \$86 million in advertisements and viewer revenue with about 8.4 million finale viewers and an average per episode viewer number of ~ 6 million.

Using 8.4 million (the highest viewer count for the season) we can calculate a revenue of \$10.24/viewer.

Using 6 million (the season average viewer count) we can calculate a revenue of \$14.34/viewer.

<https://money.cnn.com/2017/06/15/media/bachelor-business/index.html#:~:text=According%20to%20Kantar%20Media%2C%20the,Bachelorette%22%20earned%20almost%20as%20much.>

<https://www.moviefone.com/news/the-bachelor-2017-finale-ratings-are-the-lowest-yet/>



Appendix N: The Bachelor Notable Past Sponsors



While most of the sponsors from season to season of *The Bachelor* are typically food drink, and occasionally beauty/health brands, one notable previous sponsor was Kendra Scott, another costume jewelry brand.

Similarly to Swarovski, Kendra Scott noted that their majority audience aligned well with *The Bachelor* viewers. This was a sponsored giveaway for two tickets and a trip to a Bachelor Live on Stage show in Houston (2020). They also used some Kendra Scott Jewelry on the show that season and on *The Bachelor* social media. Work with a former Bachelor star, Mike Johnson also brought in over 880K impressions for Kendra Scott.

<https://www.marketingbrew.com/stories/2022/02/14/inside-kendra-scott-s-bachelor-live-sponsorship>

Appendix O: eBay Partners with Love Island

A similar partnership is eBay sponsoring reality TV show *Love Island* as the shows “pre-loved fashion” provider. In this partnership eBay provided the clothes on set of the show, promoting sustainable shopping practices and dumping fast fashion trends.

- Following the season partnership eBay saw a 7000% increase in searches for ‘Pre-loved clothes’ on site, and a 359% increase in Google search.
- An survey from August 2022, revealed that 53 per cent of *Love Island* viewers aware of the eBay partnership had bought something pre-loved in the past three months, more than double the amount for those who hadn’t watched the show or been aware of the partnership.

<https://www.voguebusiness.com/sustainability/ebay-recouples-with-love-island-as-series-fashion-sponsor>

<https://www.itvmedia.co.uk/case-studies/find-out-how-the-surprise-coupling-of-ebay-and-itv-saw-a-7000-increase-in-searches-for-pre-loved-clothes-on-the-site>



Love is Blind is a Netflix original series that can be used similarly to *The Bachelor* for Swarovski. It is a reality TV show in which contestants get to know one another and ultimately features an engagement during the show.

[https://en.wikipedia.org/wiki/Love_Is_Blind_\(TV_series\)](https://en.wikipedia.org/wiki/Love_Is_Blind_(TV_series))

Appendix Q: Sub-Labels Chanel

One thing Coco loved, was mixing fake and real semi-precious stones. This is how their use of large fake pearls with real gemstones came together. This allowed customers to accessorize the minimalist fashion designs of Chanel with many layers of costume jewelry. This concept of piling on jewelry accessories just wouldn't have been possible with fine jewelry due to the cost. Additionally, those that could afford expensive fine jewelry didn't always want to wear them out in public. This concept of costume jewelry, and in bulk, greatly appealed to those clients.

The smaller collections would be their High Jewelry Collection. These unique, one of a kind items are comprised of more expensive, rare and unique materials or stones. Colored diamonds, larger semi-precious stones, and precious stones are utilized in these collector worthy items.

CHANEL

HIGH JEWELRY

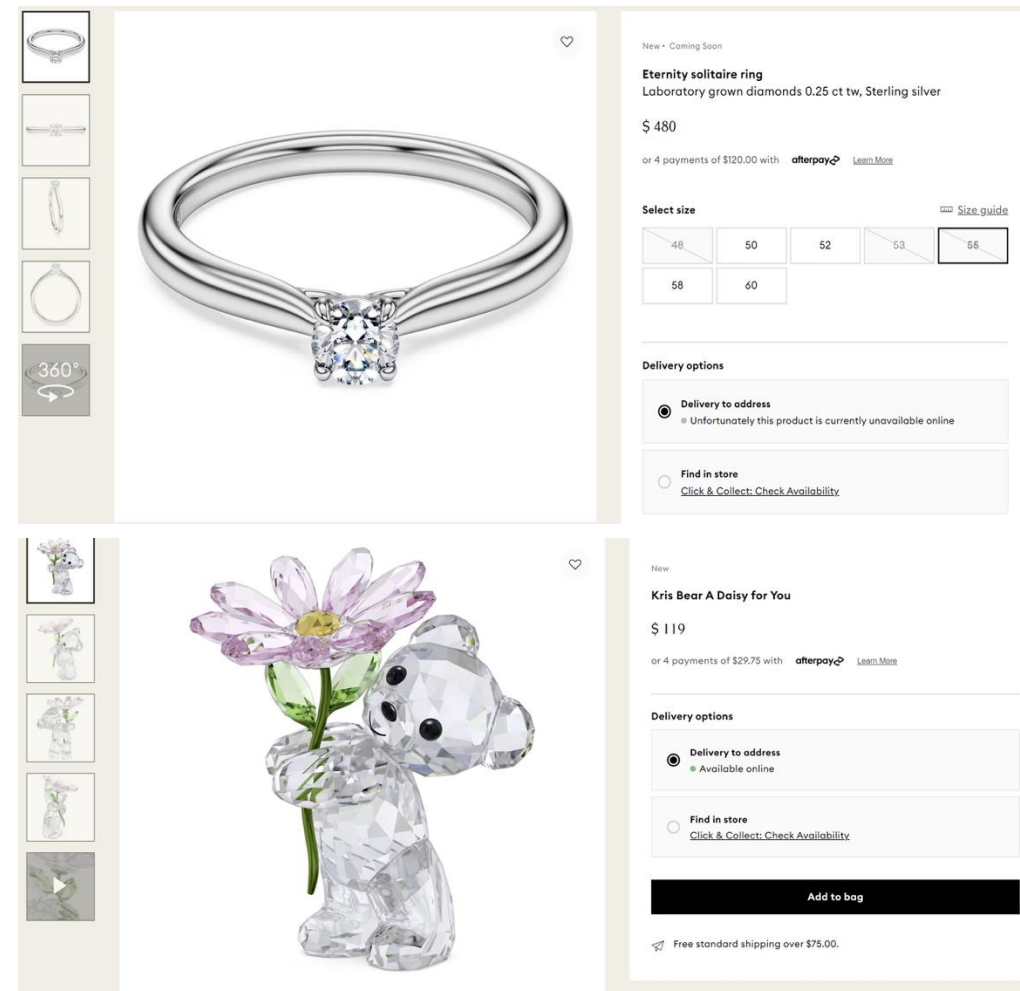
FINE JEWELRY

WATCHES

EYEWEAR

Clear Distinctions*

Swarovski
Examples:



Appendix R: Sub-Labels Example Luxe Items

Rings

Halo rings

Band rings

Engagement rings

Cocktail rings

Motif rings

Adjustable rings

Stackable rings



New

Hyperbola cocktail ring

Octagon cut, Crystal pearls, Heart, Pink, Gold-...

\$ 250



5 Colors

Matrix ring

Baguette cut, Pink, Rose gold-tone plated

\$ 149



-20%

Constella ring

Set (2), Round cut, White, Rhodium plated

\$ 224 ~~\$ 280~~



-20%

Vittore ring

Rectangular cut, White, Rhodium plated

\$ 151 ~~\$ 189~~

Appendix S: Sub-Labels Store and Customer Changes



Customer Standpoint

Store Standpoint



Brand Positioning

- A Clearer Perspective
 - Repeat customers enticed to **explore labels**
 - More **styles** and genres

- Stores Represent Higher-end Sector
 - **Creative Lead**, Unique Selling Proposition
 - Supports exclusive, **premium** price ranges



Store Inventory Adjustments

- Dedicated Retail Space
 - Clearer **categories** (rings, décor)
 - Contemporary items **cheaper online**

- Consolidate Collection SKUs
 - Costume online, **80%** items are luxe in store
 - Focus on higher **ROI** items



Operations

- Consistent Shopping Journey
 - **UX** to improve online performance
 - Product **availability**

- Distribution Channel Strategy
 - Retailers will benefit from **exclusive** labels
 - Prevent **excess** manufacturing

Appendix T: Sub-Labels Measuring Value

- Evaluating effectiveness of the sub-labels is important

Track:

- Track brand awareness – social media metrics per each Luxe and Contemporary brands
- Consumer sentiments – surveys and forms
- Ratio of purchases online to in-store
- Searches/sales performance balance between Luxe and Contemporary (Both should be remotely equal)



Appendix U: Sub-Labels Proportion of Fine vs Costume

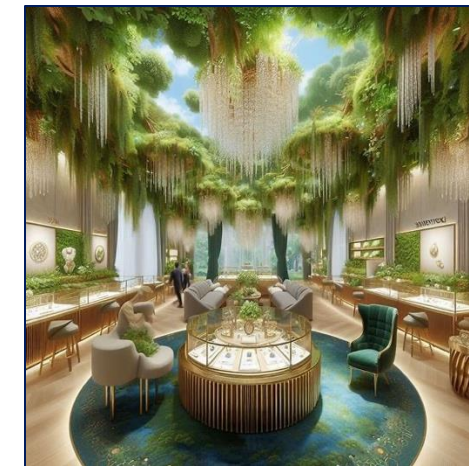
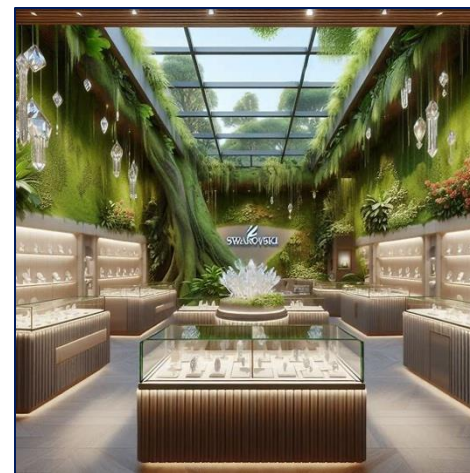
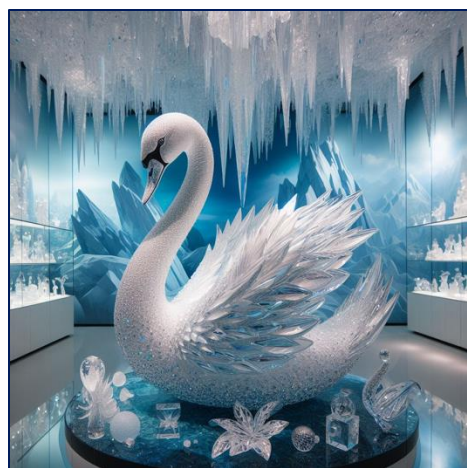


“In 2022 Swarovski managed to reduce its losses. The business saw extensive growth across all major product categories, led by jewelry at +15%. Online sales, which account for 20% of the retail business, grew by 5%”

- 80% of resources and money will be focused on Luxe in-store
- Money saved from cutting down will be reallocated to Luxe



Appendix W: Remodel Additional In-Store Locations





Appendix X: Remodel Sustainability Locations

NYC



New York Power Authority reports New York State is able to produce a substantial portion of statewide power needs with more than 80% being hydroelectric

[https://www.nypa.gov/power/generation/generation-overview#:~:text=The%20Energy%20of%20New%20York&text=More%20than%2070%20percent%20of,kWh\)%20of%20electricity%20per%20year.](https://www.nypa.gov/power/generation/generation-overview#:~:text=The%20Energy%20of%20New%20York&text=More%20than%2070%20percent%20of,kWh)%20of%20electricity%20per%20year.)

Appendix Y: Remodel Cartier Mocktail Bars

It features a modern seating area, multiple murals (including one that pays homage to Cartier's emblematic panther), and a winding staircase that invites guests to the second-floor speakeasy, where coffees, teas, juices, and mocktails are served right alongside Cartier diamonds for the ultimate sip-and-shop experience.

While touring the space, I thought back to times I felt pressured into buying luxury items I didn't actually want, simply because of the seriousness and formality of high-end designer stores; the Cartier Soho speakeasy is the antithesis of that without lacking in style. And in my opinion, it will foster well-thought-out purchases that customers feel confident about.

<https://www.thecut.com/2023/12/cartier-soho-experience.html>



Appendix Z: Remodel Luxe In-Store Implementation



Choose a test market for remodel locations in high-traffic areas that are previously known to sell mainly luxury products

Hire professional staff to blueprint, build, and decorate the exterior and interior of the chosen locations

Open stores and collect data sets on customer engagement in relation to sales for a six-month rest period

If positive feedback and increased engagement increase test market to include all locations in major tourist areas

Expected
Cost NYC
Flagship
Test:
\$2.8 Million

Expected
Time to Test
Launch:
One Year



Appendix AA: Lab Diamond Campaign Financials



Estimated Impressions (based on 15% of viewers buying):

Bachelor Season Finale Viewers	Bachelor Viewer Impressions	Average Purchase Price (\$)	Revenue Increase (\$)
6,000,000	900,000	200	180,000,000

Estimated Cost:

Category	Cost (\$)
Payment for Advertisement	15,000,000
Donation of Inventory	5,000,000

Estimated Initial Profits:

Revenue Increase from Campaign (\$)	Cost of Campaign (\$)	Profit from Campaign (\$)
180,000,000	20,000,000	160,000,000

Estimated Yearly Revenue (20% retention):

Year	Revenue from Campaign
2024	--
2025	160,000,000
2026	32,000,000
2027	32,000,000



Appendix AB: Sub-Label Financials

Pandora Post Sub-Label	2020	2021	Change	Growth % YOY
Moments and Collabs	\$2,034.30	\$2,491.50	\$457.20	22.47%
Style and Upstream Innovation	\$817.05	\$1,017.60	\$200.55	24.55%
Total Revenue USD Millions	\$2,851.35	\$3,509.10	\$657.75	23.07%

Historical Growth % Difference due to Sub-Labels **12.81%**

Pandora Restructuring Costs (USD M) **\$149.86**

Restructuring costs Costs related to Programme NOW includes inventory buyback, optimisation of product portfolio and product quality, brand restructuring, external consultants, IT transformation, etc.

Pandora Pre Sub-Label	2018	2019	Change	Growth % YOY
Total Revenue	\$1,474.20	\$1,625.40	\$151.20	10.26%

Pandora Revenue share as % of global	2020	2021	Change
	1.20%	1.35%	0.15%

OPERATING EXPENSES DKK million	2021	2020
Sales and distribution expenses	-6,352	-6,234
Marketing expenses	-3,587	-2,717
Administrative expenses	-2,026	-1,702
Total operating expenses excl. restructuring costs	-11,965	-10,652
Restructuring costs	-	-1,038
Total operating expenses incl. restructuring costs	-11,965	-11,691

Swarovski Revenue Projection	2023	2024	2025	2026	2027
Total Revenue with Organic Growth	\$2,032.58	\$2,083.39	\$2,135.47	\$2,188.86	\$2,243.58
Revenue from Sub-Labels (USD Millions)		\$286.41	\$309.32	\$324.79	\$331.28



Appendix AC: Remodel Financials

Projected Revenue for Remodel	2022	2023	2024	2025	2026	2027
Total Revenue	\$ 1,983,000,000	\$ 2,032,000,000	\$ 2,072,640,000	\$ 2,114,092,000	\$ 2,156,374,000	\$ 2,243,580,000
Total Revenue from In-Store Luxury Sales	\$ 594,900,000	\$ 609,600,000	\$ 621,792,000	\$ 634,227,600	\$ 646,912,200	\$ 673,074,000
Total Revenue Gained From Remodel	\$ -	\$ -	\$ -	\$ 126,845,520	\$ 129,382,440	\$ 134,614,800
Total Revenue (Projected)	\$ -	\$ -	\$ -	\$ 2,240,937,520	\$ 2,285,756,440	\$ 2,378,194,800

Projected Cost

Total Cost Per Store Remodel	\$ 2,800,000.00
Total Cost Per Store Mocktail Bar Initial	\$ 110,000
Total Cost Per Year Initial Build (All 3 years)	\$ 81,480,000
Total Swarovski Luxe Stores	28
Cost for Remodel	\$200 per square foot
Avg Size of Swarovski Luxe Flagship Store	14,000 square feet
Stores Remodeled Per Year	Varies
Total Cost Upkeep after Initial Builds	\$ 140,000.00

20% Increase for **JUST** in-store luxury sales starting in 2025

<https://jingdaily.com/posts/swarovski-s-revamp-and-china-strategy-tests-luxury-market-success>
<https://finmodelslab.com/blogs/startup-costs/mocktail-bar-startup-costs>

Appendix AD: Estimated Past Revenue

Year	Projected Revenue in millions \$	Estimated Annual Costs	Estimated Income
2019	3,022	1373	1,649
2020	1,937	880	1,057
2021	1,950	886	1,064
2022	1,983	901	1,082



Appendix AE: Estimated Total Revenue

Projected Revenue	2022	2023	2024	2025	2026	2027
Total Revenue (Remodel)	\$ -	\$ -	\$ -	\$ 126,845,520.00	\$ 129,382,440.00	\$ 134,614,800.00
Total Revenue (Sub Label)	\$ -	\$ 286,410,000.00	\$ 309,320,000.00	\$ 324,790,000.00	\$ 331,280,000.00	
Total Revenue (Bachelor)	\$ -	\$ -	\$ 160,000,000.00	\$ 32,000,000.00	\$ 32,000,000.00	
Natural Revenue	\$ 2,032,575,000.00	\$ 2,083,389,375.00	\$ 2,135,474,109.38	\$ 2,188,860,962.11	\$ 2,243,582,486.16	
Projected Revenue	2022	2023	2024	2025	2026	2027
Revenue Without Recommendations	\$ 2,032,575,000.00	\$ 2,083,389,375.00	\$ 2,135,474,109.38	\$ 2,188,860,962.11	\$ 2,243,582,486.16	
Revenue With Recommendations	\$ 2,032,575,000.00	\$ 2,369,799,375.00	\$ 2,731,639,629.38	\$ 2,675,033,402.11	\$ 2,741,477,286.16	



Appendix AF: Estimated Cost Per Rec

Total Cost Per Recommendation	2024	2025	2026	2027
Remodel	\$ 81,480,000	\$ 81,480,000	\$ 81,480,000	\$ 140,000
Sub Label	\$ 149,860,000	\$ 89,916,000	\$ 59,944,000	\$ 37,465,000
Bachelor	\$ 15,000,000	\$ 5,000,000.00	\$ -	\$ -
Total Yearly Costs	\$ 246,340,000	\$ 176,396,000	\$ 141,424,000	\$ 37,605,000

Year	Revenue	Expenses	Net Profit
2024	\$ 2,369,799,375.00	\$ 246,340,000	\$ 2,123,459,375.00
2025	\$ 2,731,639,629.38	\$ 176,396,000	\$ 2,555,243,629.38
2026	\$ 2,675,033,402.11	\$ 141,424,000	\$ 2,533,609,402.11
2027	\$ 2,741,477,286.16	\$ 37,605,000	\$ 2,703,872,286.16

Appendix AG: Consumer Persona 1 Jack

Jack: Nurse, 26

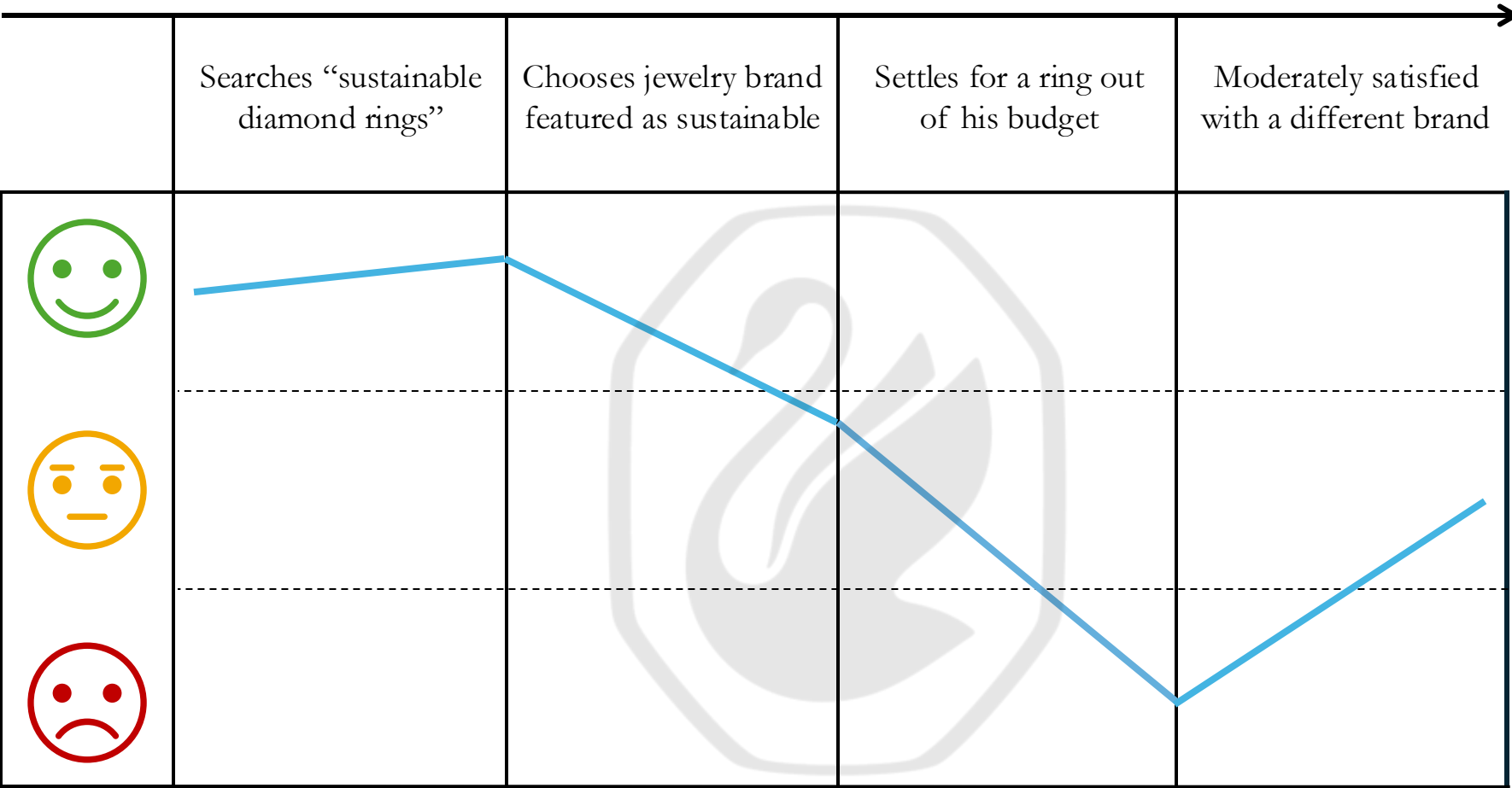


Motivation

Affordable engagement ring with low carbon footprint

Pain Point

No differentiation by sustainable practices





Evelyn: Broker, 37



Motivation

A **memorable** experience when buying **luxury** goods

Pain Point

In-store shopping has not recovered since **COVID-19**

